TIP858: McDonald's ($MCD): Generational Compounder in Historical Drawdown w/ Daniel Mahncke & Shawn O'Malley

Podcast: we study billionaires

AI Executive Summary

Core Thesis

McDonald's is fundamentally a real estate business rather than a traditional restaurant operator, deriving over 60% of its revenue from high-margin royalty and rent payments on franchises while retaining only a small portion of system-wide operations. While the company currently trades at a historically low valuation with strong cash flow yields, the hosts argue it faces significant long-term headwinds due to the proliferation of GLP-1 weight loss drugs reducing overall fast food demand, coupled with increasing competition from healthier chains like Chick-fil-A and franchisee capital constraints that threaten future renovation cycles.

Key Arguments & Data

- **Business Model Structure:** McDonald's operates roughly 5% of its restaurants directly; the remaining 95% are franchised. The company owns ~60% of the real estate and buildings globally, leasing them to franchisees via contracts with fixed minimum rents plus sales percentages (rent + royalty yields ~84–85% margins compared to ~15% for self-operated stores).
- **Financial Metrics & Valuation:**
  - Current PE Ratio: ~18x (compared to a 24-25x historical average).
  - Market Capitalization Estimate: $160B (vs. estimated $120B in land value alone).
  - Dividend Yield: 3.3% ($7.72 annualized); raised for the 15th consecutive year since 1976.
  - Estimated Fair Value: $220–$260 per share (based on mid-single-digit EPS growth assumptions).
- **The GLP-1 Drug Challenge:**
  - ~11-12% of American adults are using GLP-1 drugs; usage nearly quadrupled in two years.

    - Households with users spend 8% less on fast food/coffee shops within six months.
    - McDonald's currently reports only a ~1% sales impact due to menu engineering (protein focus) and price adjustments, though long-term market share erosion remains a concern.
- **Franchisee Financials & Capital Needs:**
    - Average U.S. franchise generates $500k cash flow per store; this is down 10% from post-pandemic peaks.
    - 95% of franchisees reported declining profitability in Q1 this year (National Owners Association survey).
    - McDonald's announced a "Next Strategy" to invest $8.5B over the next decade ($5B before 2030, rest rent relief) to modernize kitchens and technology.
- **Strategic Risks & Opportunities:**
    - Franchisee capital shortages ($8.5B needed for remodeling per store averages ~$800k investment).
    - Stock acts as an inverse correlation to 10-year Treasury bonds (-32% drawdown over same period).
    - CEO Kim Chensky incentivized on EPS growth (6%/yr target) and ROIC; stock buybacks totaled $2.1B last year.

Actionable Takeaways

- **Assess McDonald's as a Real Estate Yield Play:** Investors should view the stock primarily for its stable cash flows, dividend history, and massive real estate portfolio rather than traditional restaurant growth dynamics.
- **Monitor GLP-1 Data Trends:** Watch for changes in consumption patterns regarding protein vs. carbohydrate preferences; while current impact seems minimal (~1%), the long-term terminal value risk to appetite demand remains unquantified.
- **Evaluate Franchisee Stability:** Pay close attention to franchisee capital availability and modernization timelines, as their inability to fund necessary kitchen upgrades could lead to quality declines that affect McDonald's brand reputation and traffic.
- **Consider Valuation Risk:** While the current valuation (~18x PE) appears attractive relative to historical averages, account for the

potential downside of revenue decline due to health trends or franchisee exit rates before committing capital.

Full Transcript

You're listening to TIP. Welcome back to the Investors Podcast, episode 858. And in our last episode, Sean, I pitched GE Aerospace to you. And it's a fantastic business, but neither of us is an expert on the industry, at least when it comes to the technology of what GE actually builds. And I would say neither of us is an expert on fast food either, but I've certainly bought more burgers in my life from McDonald's than engines from GE. I certainly would be surprised if it was the other way around. And I know you have said, though, that you haven't eaten at McDonald's in what about a decade? That is true. Although I actually did eat at McDonald's last week for research purposes. Obviously, I was landing in the evening in London for our latest Inner Circle community event. And I have a pretty sensitive stomach, as you know. So I didn't want to go to some of the Smashburger places that were open next to it. And since I knew I would have some pretty good food for the next couple of days, I could get to terms with eating at McDonald's that night.

Even from not a regular customer, it's way easier, I would say, to understand McDonald's business, even though it's not as much of a fast food chain anymore, and from at least an investing perspective, you actually look more at a real estate company. And it's one of, if not the biggest fast food brands globally, of course. And there have really been very few opportunities to buy McDonald's at a discount at any point. But today we might have the chance to do so. Since 2014, with more than 200 million downloads, We have interviewed the world's best investors, studied deeply the principles of value investing, and uncovered many compelling investment opportunities. We focus on understanding businesses and intrinsic value, investing accordingly and sharing everything we learn with you. This show is not investment advice, it's intended for informational and entertainment purposes only. All opinions expressed by hosts and guests are solely their own, and they may have investments in the securities discussed.

Now for your hosts, Sean O'Malley and Daniel Manker. I looked back at all the episodes we did covering stocks and I did notice that we've never covered a restaurant before. We've done airlines, e-commerce, banks,

luxury software, data centers, apps, and a whole bunch of other types of businesses, but not a single restaurant. Well, to be fair, most of them are not great businesses, although you can probably say the same for on our airlines or car manufacturers and we still looked at them. Actually, I remember how we debated the tipping culture when I was in the US and we kept being shocked by the idea of, you know, paying your employees 1.50 per hour and then charging 20% service fees plus an additional tip for the waiters or at least I should say I was shocked. I'm not used to that here in Germany. And I kind of asked myself if that's how it works. Shouldn't US restaurants be vastly more profitable than restaurants everywhere else in the world where they actually have to pay the staff that is working for them. But Of course, that's not really true. For one, you have the back of house staff like, you know, cooks or dishwashers and so forth, and they are still paid full wages. And then secondly, in many states, you also receive a full minimum wage before tips. And then most importantly, and we all know that the industry is highly competitive. So any cost advantages are basically shared by all the participants and often they end up in the price anyway. I can definitely see why it wouldn't feel that way since food in the US is still pretty expensive compared to most other places in the world.

Yeah, if the tipping culture were less common, I think you would just see that baked into the price of the food. So you'd be paying the money anyway, either in the form of tips or just included in the price. But really, it's a moot point since you don't tip anyways at McDonald's. Well, maybe that's why McDonald's has more than 70 million daily customers globally. Well, it could be true. And it's really an incredible number if you think about it. But McDonald's is the most recognizable brand really in the world. So it's not too much of a surprise. I don't know in which country you would need to be to ask them whether they know McDonald's and they would say no. I feel like wherever you go in the world, everybody knows McDonald's and most people you talk to actually have visited one and one of those 70 million daily customers and perhaps one of the most loyal ones is a person we all know, Warren Buffett. He's pretty famous for his McDonald's visits. I know there's this video where he shows his daily life and the first stop is in the morning at McDonald's and he also invested in the stock back then in 1996.

He actually owned more than 4% of the company, and that was worth about 1.4 billion. And he ended up selling that stake, though. And he called that decision later a very big mistake just a couple of years later, actually, when he wrote one of his letters. And McDonald's performed quite well, so he looked back at it. And he definitely owned some companies like Coca-Cola, for example, who are at least in a similar business. And he sort of thought it was a mistake to sell it. And that investment would have been worth about 10 times more today than what he paid. that wouldn't even include all the dividends that he would have been paid. And we all know he's quite big on those dividend stocks. And nevertheless, he had some concerns about the business model and that he basically didn't see the same concerns with his other investments like Coca Cola, which made him kind of famous today. And actually, I saw a video where he and Charlie argued why they sold their position. So maybe we'll just play it here. A great many of the decisions on fast food as to where you eat is simply based on which one you see. I mean, convenience is a huge factor. So If you are going by a McDonald's or a Burger King or a Wendy's and you happen to be hungry at that point, if you're traveling on the road and you see one of those signs up, you're probably going to stop at the, you may very well stop at the one you see. So there's not the, there's a loyalty factor, but it's just not going to be the same in food. People want to vary their, I don't, I mean I'm happy to eat there every day, but Most people want to bury where they eat as they go through the week or the month or the year. And they don't really have any great desire to bury their soft drink the same way. It's not the same thing. So it's no knock on McDonald's at all. It's just the nature of the kind of industry there. Charlie? I can't think of anybody else who before McDonald's ever did what McDonald's did to create a chain of restaurants on such a scale that worked. Oh, Howard Johnson's tried. Yeah, there were a lot of failures. Some of you are old enough around. I'm ought to remember Reid's. Harker's. Or Harker's. Harker's. Harker's. Harker's. Wholesome hamburgers. Right. And they came and they went, those chains.

It is a much tougher business that McDonald's is in. It's price sensitive, too. I mean, obviously, part of that's comparative. You can spend a lot more money on hamburgers in the course of a year than razor blades. I mean, you can't save that much by changing razor blades. There's actually another investor that we know quite well, who has a history in McDonald's, too.

And that's Bill Ackman. He took a 5% stake in McDonald's about 20 years ago. And his thesis back then was that Something like 90% of McDonald's economic earnings came from its land and its franchising. And actually the real estate alone was worth more than the entire market capitalization of the company at the time. So his idea that he proposed was to spin off most of the company owned restaurants and then borrow against the real estate to buy back more stock. And back then McDonald's didn't want to do that. So Ackman eventually sold his state just like Buffett did. And then if you look at what McDonald's did in the past two decades, It's more or less exactly what Bill Ackman wanted the company to do. But that's not what the company was supposed to do when it started. So maybe we just talk a bit about the history of the business, which is definitely interesting. So there was a time, obviously, when it was just about selling burgers at McDonald's. And the company was founded by two brothers in San Bernardino, which is in California. And that was about 85 years ago. So the names of those two brothers were Richard and Maurice McDonald. So that kind of answers the questions of, you know, why McDonald's is called McDonald's. And for the first eight years, It was more or less a normal drive in with car hops and a big menu. And by the way, for the people who don't know what car hops are, because I didn't know before I researched it, it's basically if you just drive in your car to a parking lot and then you would get the service in your car. So you also eat in your car. So it's not the same as the drive through, which is what I thought when I first looked at it. But in 1948, they sort of revolutionized that model. So they revolutionized how fast it works. And you basically move from these car hops to what we know today, basically, you know, essentially later. So.

They closed for a few months. They cut the menu down to nine items. I know that we are TAP. We often talk about simplicity. So that's what they did. They had a huge menu before and then they cut it down to just nine items and they got rid as I said of the car hops and they basically rebuild the kitchen as an assembly line. So they called it the speedy service system. Well, it's a shame that that name didn't survive. I think the speedy service system is better than fast food. And I will say I've only been a sonic a few times, but I'm pretty sure they still have car hops. That's true. I think there are a couple of places that still do. I don't know any in Germany, but I heard there are some in the US. So you've experienced it. What's your take on it?

Is it better than a drive through or just going into a restaurant? Yeah, I mean, I feel like whenever I get fast food anyways, I'm eating in my car. So there's sort of like a novelty experience to it. That was sort of fun. But I think I really didn't like the food the one time I did it. So I have a bit of a sour taste in my mouth. Well, that's not good. Also, I don't like the idea.

If I have three to four friends in my car and I think about my friends of them all eating fast food in my car, I feel like I will need to clean that car quite often if that would be the case. But, you know, for McDonald's, the most important thing is that the business model survived. So you have this limited menu and a fast food delivery. So, you know, you can pick it up more or less immediately than maybe just like you do either in the car afterwards, but you can also take it home, for example. And I just want to ask you another question, which is take a guess how much a hamburger cost back then when McDonald's was first founded.

Gosh, I'm trying to do the inflation math in your head in my head. I know that candy probably around this time was maybe a few cents. So if I extrapolate that, I don't know, maybe 25 cents for a burger. That's a pretty good guess. It's actually 15 cents. So slightly less, but still, I would say pretty good gas. And I got to say, when I saw those inflation rates, I thought that's a pretty good reminder to be invested in the market and not just have your money sit in any bank account and meet 15 cents. compared to what a burger nowadays costs. And I think it's about four dollars if you just think about a hamburger, probably more if you would, for example, buy a Big Mac. Anyway, though, this model worked so well that they started selling a few franchises in California and then also later in Arizona. But the two brothers were at least not that interested in making the larger thing. So they themselves wouldn't have been the reason why now everybody in the world knows McDonald's. There was a guy, though, was very interested in making it a bigger thing. Oh, yeah. That was Ray Kroc.

And as you know from your trip to the US a few months back, Daniel, I love milkshakes and Kroc was a salesman for milkshake machine. So I think in another life that's a job I would have had and actually McDonald's ordered some of his machines and he was basically wondering why one hamburger shop would need eight of his machine. So he actually went out

to San Bernardino and visited the shops. And when he saw the lines of people in front of the store, he realized how they ran the kitchen really more like a factory than a restaurant. And he saw the potential for how this could be much bigger than a handful of stores. And so he made a deal with them. Kroc would get the right to franchise McDonald's nationally. The franchisees would pay 1.9% of sales. And then out of that 1.9%, about a half a percent.

would go back to the brothers. And so in 1955, Kroc opened his first restaurant in Illinois and he paid a franchise fee of just 950. And that sounds very cheap. But for perspective, that would be about 12,000 in today's money, which is still not that bad because today I Google that the initial fee for McDonald's franchise is about 45,000. And if you combine all the costs that go into, you know, building it and so forth, you would actually spend between 1.5 and 3 million to open up a new McDonald's. So obviously it depends on where you want to build it right and those additional costs are also why the deal for croc back then was pretty terrible he sold 18 franchises in total in his first year and he could barely even cover his expenses so he was basically paying for things like field consultants employee training and then site selection and he was getting 1.4% off sales for it which even if you think about it doesn't sound like a lot of money he solved that problem though by turning McDonald's into the massive real estate company that we know and basically discuss today and He did that by meeting a man who was called Harry Sonneborn. Sonneborn had been the finance VP at Tasty Freeze. I personally don't know. There's never been a Germany. I don't know if it's a name to you. Apparently it still exists. And it was basically an ice cream and burger chain company. And in 1956, he joined Croc as basically the CFO of the company and then later the president. And Sonneborn had the idea not only to focus on making money on the hamburgers, but instead on the land and the stores and then franchise them out.

McDonald's would find a side, then they would buy it or at least take a long term lease on it. And then they would sublease it to the franchisee with a markup of about 20 to 40%. And the rent was basically set as the greater of a fixed minimum or a percentage of sales. I've definitely seen, I don't know if there's any tasty freezes open, but I've definitely seen the remnants, sort

of like how you see, you drive past some places and you can see where there was a blockbuster sign hanging up. It's like sort of like the dirt. around the lettering has been like engraved into the siding. I've definitely seen some artifacts of tasty frieze. But anyways, when there was really an economic downturn or a bad month, I think what's interesting about this model is that he made sure he was paid through this fixed minimum. And then in the good times, he had some exposure to the upside, right? When the restaurant did well, he would benefit more from this percentage split that he has at scales with the restaurant's success.

It's a way better model than the one he had running or going for him before. And basically, there are three major advantages to that model. So first, it obviously gave the company a second revenue stream that was much more reliable than the royalty. And then second, it also gave them control back because if you're a franchisee who isn't running the store well, which is quite important for your reputation, if you have so many stores, you'd all need them to run pretty well. But then at this point, you're not a licensee anymore, but you're actually a tenant. And as we all know, a tenant can be evicted. And then the third advantage is, and probably this is the most interesting one, it also made the company bankable. Because if you want to buy new stores, you need a lot of money and probably also credit. So, Sonobon went to banks and insurance companies for that matter and essentially told them, look, we're not in the restaurant business anymore. We're in our real estate company. And if you want the 50s, and that's probably still true today, the restaurant industry is seen as a place where, you know, probably money goes to die. It's not easy to get credit because oftentimes those places go broke at some point. But real estate, can get your loan much more easily. So that was the money that they used to fund the expansion of the business, especially buying new property. And I also got to say that the insurance companies that loaned the money made a pretty incredible deal too. When I looked at the details, I think they gave them a loan of about 1.5 million and an interest rate of 7%, which back then was quite normal. And to be completely honest, we're kind of getting there again. But they also received 22.5% off the equity in that company. If anything, a 7% interest rate to sort of an upstart franchise business model. That sounds like a pretty good rate, but I guess they had to hand over 22.5% of the equity to get that. And of course, that 22.5% would be worth tens of

billions of dollars today, even after accounting for dilution over time. So yeah, that's a pretty good return on 1.5 million. But I've actually heard that Kroc really wasn't the type of guy that you would want to do business with, at least not from a personal standpoint. I mean, He was clearly a very good business man, but maybe not so much of a great partner. And so he eventually decided that he wanted to own all of McDonald's and buy out the founder brothers. And I think you mentioned they wanted something like 2.7 million. And that was a pretty major investment back then. And Kroc wasn't happy about the price tag, but he did end up paying it.

He did, but at that point he didn't yet actually own all of the McDonald's franchise stores because there was one left that the McDonald's brothers, it was actually the original one in San Bernardino. They promised to their employees. So they obviously couldn't name it McDonald's anymore because they sold that name to Croc. So they just called it the Big M. But even that was not enough for Croc. He wanted that store to be closed. So what he did is he opened a McDonald's store close by and then basically over time bankrupted the Big M. So he later said in an interview about this. I needed the McDonald name and those gold notches. So what are you going to do with a name like croc? Well, it definitely doesn't have the same ring to it. I guess if you change croc from the K to the C, you could have maybe sold these 70 rubber clogs with that name. But, you know, it feels like so long ago. But remember when we had crocs shares in our portfolio? I do remember that was a good time. It was a very profitable investment for the two of us. So maybe 70 years later, he could have had a successful business with that name. Back then he didn't feel like it. So I even think that if you look back at it, probably McDonald's needed a guy like him to turn this company into the global empire that it is today because I think it fits the business model much more than this romantic idea of the McDonald's brothers. I mean, obviously the marketing is probably supposed to be more focused on harmony, family, friendliness and so forth. At least when I think back about my childhood, that's how McDonald's seemed to me. And if you want to run a successful fast food chain, That's what you want, right? The marketing is supposed to be, hey, this is healthy food. This is for families. It's cheap. But we all know back there in the kitchen, you have to be very strict about how you do things. You have to be fast. You have to be efficient. And that's basically what McDonald's did, right? They were precise. They

were relentless. And, you know, there was this by Kroc actually invented playbook of what he called QSC and V, which stands for quality, service, cleanliness and value. And probably some of that reputation has not survived after he gave that business up to the people who followed. I don't know if it's the catchiest acronym I've ever heard, but I guess it works. And it seems a little questionable for me whether I would connect quality and cleanliness with McDonald's, but fair enough. One of the most recent things that comes to mind for me when I think of McDonald's since I'm not really a particularly active customer was that viral clip of the CEO where he basically takes a bite into their own burger. And it's very difficult for him. He looks uncomfortable. And so was not the best viral marketing for the company that you could imagine. Yeah, he also called the burger a quote unquote product, which might be right technically, but it's certainly not what you want to hear someone say about the food that you just ate a couple of hours ago. And I still got to say, you know, that entire thing, I felt like the reaction was a bit too harsh. I mean, to me, Chris Kamczynski, who is the McDonald's CEO, we just talk about just seems to be more of a numbers guy and perhaps not the most authentic person for a video shoot, eating a burger. Because to me, it seemed like, and he also said that in an interview later on, he was just way more concerned with not looking weird while eating and talking. And I can kind of get that. If you're the CEO of a company and now you're supposed to eat something, but then also talk, I could understand why you maybe look a bit more weird. Obviously in hindsight, those were better options than looking like you would just discuss it by your own product or food, which I think that's what the internet made out of it. But I mean, I don't eat at McDonald's because I believe the food they sell to you is not healthy and that's obviously well documented as well. So my eating habits are generally a bit complex, probably similar to yours. So the fact that we wouldn't eat at McDonald's, I don't think it says anything about the average consumer. And I think there definitely is a place for McDonald's to exist. But still, if the general perception is what you sell is unhealthy and then you as the CEO are sitting there in a video and it feels like you don't want to eat your own food, that's definitely not good. I still got to say just because I feel like it's intellectually honest.

What I find even worse is the whole soft drink business. So Coca Cola might be at the top of all of that and you know, Buffett and Mungo never had any problems investing in Coke despite talking about this win win for the company and for the consumer quite a lot. And to me personally, it's not a killer criterion to invest in a company that offers a product that maybe I personally wouldn't use because I don't feel like I should sit on, you can probably call it a model high horse. But I also believe that if a product is not a win-win, you will have a harder time in the long run. So part of it is maybe just rational decision-making, not choosing companies that might make it harder for you because they're not good for the consumer. I think I probably echo the way you think about McDonald's. I will say to this day, if there were one thing I was going to get at McDonald's, it would probably be a McMuffin. And if I knew that I was treating myself to McDonald's, I would probably get a Coca-Cola too. But that's just a special treat.

I think the way you view it is pretty similar to how I think about Metta in particular. And with Metta, you've seen over many years now how lawsuits have impacted the business and hasn't really been in a major way yet, but we have come pretty close, especially recently. And so there's just simplicity to owning businesses that are really win-wins for society and sort of letting them do their job. And it goes back to the scale economy shared from Nick's sleep with Costco and also with Amazon. I think Amazon is a win-win business. When they become more efficient, they reduce prices or they invest in their logistics. And then that means packages arrive earlier and it ends up being a better experience for everybody who uses it. And so McDonald's has an incentive to lower food quality if it means saving more money. And since they serve lower income customers, it's really not a great setup for society because they have this incentive to really worsen the quality of the ingredients.

and not a lot of incentive to produce higher quality, healthier food for folks. We'll definitely get to that, especially later on, because we have to talk about GLP-1 drugs and their impact today. But before I get too negative, there is definitely a reason why we pitch McDonald's as a stock today, because McDonald's itself, as we alluded to in the beginning, is more of a real estate business than anything else. So the way this works in detail is that McDonald's operates only about 5% of all its restaurants itself, and the

other 95% are run by franchisees. So McDonald's owns the land under roughly 60% of them, most of them in the US. And then in nearly 80% of cases, McDonald's owns the building too. So when they don't own the land, they basically lease it, and then they lease it for a mock-up to the franchisee. So in the end, in the vast majority of cases, the franchisee is a McDonald's tenant or has McDonald's as their landlord. And that is a dramatically better business than just running the low-margin restaurants themselves.

It definitely is. If you look at the margins, for example, McDonald's has an operating margin of 46%. And then if you look at a place like Chipotle, which is an excellent operator in the industry as well, the stock didn't perform that well lately. But if you just look at the numbers, it is a pretty good business. And I think a lot of people say that the quality of food might be a bit better than it is at McDonald's. And even that place is only at margins of about 15%. So for the restaurant business that McDonald's runs itself, the revenue is close to 10 billion. And then the costs on there are about 8.5 billion. So that includes everything from food to labor and those are the biggest parts, but also the other stuff. So the margin there is also about 15%. So even if you look at the places that they actually operate, they're quite good at being efficient and having high margins compared to other industry peers. But obviously the rent and the royalties are about 16.5 billion dollars coming at an 84% margin. So it's way better and more important business for McDonald's. Let's take a quick break and hear from today's sponsors.

Early in my career, I was chipping away at student loans, and it felt like it would never end. I'd make a payment, check the balance, and it barely moved. What finally changed my mindset was seeing a real finish line, a date I could actually circle on the calendar. That's what Monarch's debt pay-down simulator gives you. It uses your real balances and payments to show your exact debt-free date. Then you can run different scenarios side by side, like adding an extra 100 a month, and instantly see how much sooner you'd be done. Watching that timeline shrink is really motivating, and you're the one in control of the plan. Plus, a quick check-in on your phone or laptop tells you exactly where your money stands. It's so important to manage your finances, and I believe Monarch can help you in doing so. Write your own

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B-I-L-T dot com slash T-I-P. Use our links so they know we sent you. Terms apply subject to approval and eligibility. Built cards are issued by column N-A, member F-D-I-C, pursuant to license from MasterCard International Incorporated. All right, back to the show. And if you add it all up, more than 90% of profits come from franchising. So that's royalties and then the rent. that the franchisee is basically paid to McDonald's for owning the real estate. And that's also why you have this generally weird dynamic

where the margin for McDonald's goes up basically whenever they sell a restaurant to a franchisee. And so what you more commonly see is that margins go up with scale as companies spread their revenues across a fixed cost base or as a restaurant, you'll build more stores.

But in this case, it's different, right? Revenue goes down because you're losing out on the sales from the restaurant that you owned entirely, which on average would be about 4 million per year per store, but you then replace it with less capital intensive rent and royalty payments that come with a higher profit margin. And at the latest investor day, McDonald's actually said that they want the operating margin to be in the low to mid 50s by 2030 and part of why they want to get there or maybe how they want to get there. It's just selling more places and then franchising them out, which is again a good way as you said to increase the margin. And it also means that revenue is going down a bit, but it's definitely the better trade off. And by the way, if you ever listen to a McDonald's earnings call or maybe an investor day, it actually feels weird because there is just so much corporate speech. And while I didn't find it weird when the CEO called the burger a product in the video that we mentioned earlier, I do kind of find it weird when an entire investor day treats every sort of beef or food as basically a good that you have to scale or take market share in. And I don't know, just to me that feels a bit off. I know that you sometimes talk about the investor calls of Adobe and how boring they are. Here, it makes sort of being boring and also a bit weird just listening to it. I have a friend who works for a chicken company where basically they sell the meat and distribute it to grocery stores. And she does chicken marketing.

So listening to how she speaks about chicken products and their competition with beef is very, very interesting and funny to me. But we should get more into this question today of how much McDonald's is impacted by GLP ones and whether it will become a big problem for them. And I think it's particularly interesting given that they technically are really only indirectly dependent on the success of their restaurants, right? So we just talked about the main business of McDonald's, you know, the listed publicly traded company is not actually selling burgers technically. And what's also interesting on the GLP One front is it seems like there are already some new peptides out there and perhaps more on the way that are

significantly more effective at reducing appetites and causing weight loss than Ozympic, which in its own right was considered a really big breakthrough. So we may be moving into a world where we look back sort of in astonishment at the widespread rates of obesity today. And we see that as being a thing of the past. And that would be great for society, but obviously not so great for McDonald's shareholders. And before we get into all that, though, how about we look a little bit more at these rent contracts and see what it actually looks like for a franchisee to sign a deal with McDonald's? Just one quick comment on your first point, because of course, McDonald's still needs to ensure that the restaurants and the franchisees are popular and they make a good amount of money because otherwise they will just close their stores. And if they do that, they will also stop paying rent and royalty. So a lot of people made this real estate argument and we'll get into the value of it in a minute. So that definitely is a good investment case just based on how much that is worth. But still in general, you need the restaurants and you need McDonald's itself to still be a place where people want to go and eat, even though the company behind the stock is not trading on how many burgers are actually being sold.

But again, it's interesting if you think about how much the real estate is actually worth for McDonald's right now because it's on the balance sheet with only about 28 billion of value. So that's basically the value that McDonald's once paid for all of these stores and you know the real estate in general. And much of that land and the buildings were bought decades ago. So partly in the 1960s and the 1970s. So the real estate is worth a lot more money today than back then. In fact, there are some estimates that have found that are basically saying or at least estimating that the real estate alone could be worth about 120 billion today. It reminds me a lot of Co-part, which is a company we've talked about on the show plenty of times. And that's a company that owns its land and bought much of it at lower prices decades ago. It's definitely similar. I feel like it's Co-part on steroids because McDonald's not only owns way more real estate, but it's also in the most sought after addresses in the world. Basically, you know, whenever you go to, for example, London or New York City, you will see McDonald's had pretty much the best address that you can think of, and many of those sales, although not all, are owned by them. So you can imagine just how valuable the real estate of their match really is. And if you look at their

market cap today, it's about 160 billion. So if those estimates are actually accurate, and the entire operating company is at that point only worth 40 billion, and that would be, you know, producing 8 billion in free cash flow in a normal year. So you're technically dividing between the real estate business and then also the operating business.

Talk about five times cash flow for the operating business just because you have 120 billion worth with all the land and the buildings that they own it. I know that sounds pretty good. And then you're asking, well, if I can buy McDonald's for five times operating earnings, why wouldn't I do that? Well, technically because I just said that you still need the restaurants to do well. Otherwise, the rent goes down. Just you don't earn it anymore. It's the same with the royalties. So the biggest use of that asset is basically to just level up against it and then buy back shares or maybe pay a dividend. basically what Bill Ackman suggested in 2005, so 20 years ago, because otherwise, if you sell it, you just don't have an operating business anymore. But to get back to your original question about the setup of the leases, so typically what you have is a 20-year franchise agreement, which by the way is another reason for where you can't just sell all your buildings because you have tenants in there for at least 20 years of the contract just renewed. And as we discussed before, the rent is basically a percentage of sales.

with a fixed minimum. So it's yet another reason why McDonald's also needs to have the restaurants perform the best they can. And the percentage of basically depends on how much McDonald's invested in the side of the building. So if you talk about an old building that's fully depreciated, you might talk about 8.5 percent of sales. And then for typical new building, you would talk about 10 percent. And for an expensive site, we just talked about the one in London or we talked about the one in New York City, you can easily also pay 15 percent because obviously the earnings potential there is much higher. And then on top of that, you also pay a royalty that is 4% of sales in the US. And then there's a separate 4% for the National Advertising Fund. It sounds pretty expensive. And if we go back to the store economics and say the average McDonald's is doing about 4 million in revenue per year, then they would pay something around 400,000 in rent, 160,000 in royalties, and then 160,000 would go into the marketing pot too.

that's before you account for any of the costs of actually running the place, right? The food and the labor. And so the hierarchy here kind of reminds me of what we described in our GE episode in aerospace, that airlines had the worst economics. Then the plane makers had better economics, but it's still not great. And then the engine makers had better economics still. And then the best margins were at the very top with the aftermarket parts sellers. And so in restaurants, it's sort of the same shape. Independent restaurants have the worst economics. Most of them fail within a few years and then you have these company operated chains like Chipotle where you own the stores and you take all the operating risk, but you get the scale that comes with that. And then you get these more asset like franchisors like Yum or Restaurant Brands where you collect royalties, but you don't actually own the real estate. And then at the very top with the best economics, you have the franchiser who's also the landlord and really nobody else does that better than McDonald's.

i guess the difference between the two and i like the analogy is that we both very much like the tailwind of air travel over the next decades and i have a couple more questions and you just mentioned it before about the future of fast food and i say that because the economics of even the highest player in the hierarchy obviously still depend on all the others so you know if we go to the alliance or you know just g a few people fly and there's less demand for engines than g e struggles just as the oems like airbus and boeing and also the alliance so It's basically all connected, even though some make more money than others. And when there's less demand for fast food and McDonald's in particular, obviously even the superior business model can't save them either. So how are the franchisees doing right now? And perhaps I mean, you can give an overview of just McDonald's operating business generally. I think you mentioned that you don't have a ton of fast food chains like we do in the US. But obviously McDonald's is a major thing in Germany as well. And Donald's is everywhere. That's true. But we definitely don't have the same Selection or variety of fast food chains here in Germany or maybe just food sports in general. I mean, it was quite remarkable how many food sports you guys have in the US and then even in smaller towns like for example, Charlottesville and so many of them as we just talked about when I think we were driving to Chick-fil-A, which is actually a private company. But we talked about how many of those

companies that we just see are publicly traded companies. And when I was in London last week, Carl actually asked me which German restaurant chain or brand.

he could know because, you know, for example, they're a public company or they expand that globally. And I actually struggled to name a single one, which is kind of scary. But yes, again, McDonald's is obviously big in Germany. And they generally differentiate between three market categories. So the first one would be the US, which is almost 40% of system wide sales. So that means you have more than 13 and a half thousand restaurants and then 95% of those are franchised. And McDonald's owns the legal asset with most of them, as I said, especially in the US. And then the second market is what they call international operator markets, which is McDonald's speak for those are the big wealthy countries where McDonald's runs the market itself and then also franchises to local operators and that Germany, it's the UK, it's France, it's Canada, it's Australia, Italy, Spain and so forth. So primarily North America and Western Europe. And that's 35% of system wide sales. And then you have the third bucket, which is international developmental license markets. And that basically includes You could say everything else. You have China, Japan, Latin America, you have the Middle East, you have India and in all of those markets, McDonald's usually doesn't run any of the places. So there might be a master franchise that owns the whole country and then it builds its own restaurants with its own money, of course, and pays McDonald's at general royalties. That's 26% of system-wide sales and it's about a quarter of all the restaurants of McDonald's globally. It's pretty remarkable to see the difference between the share of system-wide sales.

And then the revenue that McDonald's actually makes in those markets is so in the US, McDonald's owns the real estate most of the time. So system-wide sales and the actual revenue are about even. Europe is responsible for 50% of system-wide sales, but only 35% of McDonald's revenue. And then in the third bucket, the difference is by far the largest. So I assume that that third bucket McDonald's has, they don't own any real estate and it's just a royalty business only. Is that the right way to think of it? Yes, it's only the royalty. So usually when we talk about, you know, the franchise revenue, it's royalty and rent in that third bucket. It's only the first part. So they don't

own the real estate. They don't own anything. It's basically just, you know, them giving the right to local companies to use the name McDonald's. And a good example is our course Dorados, which is also listed on the New York Stock Exchange on the ticker ARCO. And that's sort of the master franchise for all of that in America. And that's about 4% of McDonald's system where it sales.

And they signed a 20 year agreement just recently with McDonald's that started in 2025. So it goes up until 2045. And by the way, if you ever want to look at basically the details of the franchisee side of McDonald's, you should look into their filings because they break down in quite a lot of detail how that looks. And they're actually the source for all of the numbers that I have in this episode. And then you have China, which I probably also should bring up because it's more of a special case. So McDonald's initially sold 80% of that business in 2017 to Cytic and Carlisle. But then they bought back 28% just two or three years ago. So now they own close to half of the business again. So it's slightly different for China compared to the rest of the third bucket. And China is actually the fastest growing market by restaurant account for McDonald's. And management has talked about opening around a thousand restaurants a year there, which is just ridiculous. But the comps in China were actually negative.

recently though. And I guess that's not too surprising given the weak consumer in China that we've talked about in some of our recent episodes like with LVMH and Hermes. And obviously, those are different customer demographics. But I think the point generally is that the consumers in the middle class, even the upper middle class, and especially of course, the lower class are really struggling in China due to the property market crisis there. And so their budgets for everything from luxury spending to even McDonald's are being impacted. And it's definitely not a not a China specific start. And I mean, McDonald's is a pretty good proxy for how consumers are generally doing, especially lower income customers. And traffic has certainly slowed down in 2026. And that's globally, not only in the US or not only in China. It's not dramatic, but it was at least stagnant in Q1. And then it actually decreased slightly in Q2. And at least management is expecting that that trend will continue for the rest of the year. But I don't think that's really what scares me. I think there will be good times and bad

times. And When I can buy a business that I know will recover when, you know, times are getting better. I'm happy to buy their times when it's not all, you know, rainbows and sun shines and it just looks great, which is why you now have to pay significantly less for McDonald's in just, you know, four to five months ago. And as you sort of brought up, what I'm more interested in is whether McDonald's has more, let's say, long-term problems or maybe terminal problems, right? We talk about GLP one as a threat to McDonald's on even competitors like Chick-fil-A, which I know you're a big fan of.

might take some share. And I think those are the ones that I would actually focus on more. So when you listen to my dance calls and I don't like it that much, it's mostly about getting through this economic downturn with, you know, something like value menus, digital offers, especially in the app and so forth. But those long term threats, they're not addressed to at least the extent that I would like. Gosh, the McDonald's app is such a big thing for kids and teenagers and folks in their early twenties to remember that being really defining how and where we would hang out if somebody had a special offer for a free set of fries at McDonald's or a free soda. All of a sudden, we would find ourselves hanging out there. And so I think the app is really sort of an interesting point for them relative to their competition, right? And in terms of their advantages, they have more than 220 million folks who have opened the app in the last 90 days, 90 day active users.

And that number has been growing by 45% in the last three years. So the app is as popular than it's ever been. And so those members on average, folks who frequently use the app, they end up attending the stores twice as often as non-loyalty members. It's funny you bring it up because I only now remember that I actually did the same with a lot of my friends when we were back in school that somebody had the app and they were talking like, hey, I, you know, get. 10 chicken nuggets for free. So you just suddenly joined the group to go then. It's funny because it was 10 years ago, at least, and it was still a big thing. But in the last 10 years, it just grew exponentially. So the online sales, unsurprisingly, became more and more important each year since then. So by now, sales initiated on the phone represent about 40% of total system-wide sales in McDonald's top five markets. And those are, for example, US, UK, Germany, those sort of

markets. And then in China, it's probably unsurprisingly, way more extreme than that with 98% of sales coming through a digital channel. So that is not only the phone, it could also be on your desktop, but 98% of sales means basically all they sell, right? And especially in times when the consumer's weak, I think that's an advantage that you have through the app because you know, you can just re-engage people with these value offers, for example, you know, special discounts, special menu stuff that you usually don't get. And all of that while you can basically get the list prices unchanged. So it doesn't seem like things generally need to get cheaper.

It's just an offer that, you know, for example, it's valid for two days to get 10 chicken nuggets at 30% off, and then you get more people to go to McDonald's again. I would personally not say that's a mode. You might think that's much more valuable than it is. I would probably call it something of a margin of safety. I mean, management has said about two thirds of the traffic they lost came from these loyal customers, people who. were already in the app. And one of the reasons they gave that was that they cut back on digital offers at the time. So the advantage is that they can notice that quickly and can act on it. But it also means that regulars may quickly stop going to McDonald's when there are no special offers. And you basically condition your most active customer group to always expect discounts. And that's an issue in a different way we talked about with Nike.

It's definitely a problem also for the franchisees and it's part of why they don't like that dynamic because it's easy for McDonald's to just re-engage people and get them into their shops. What you will actually find is when you go through some of the stuff the franchisees talked about in the last couple of months is a lot of times they just didn't have the same office. So somebody would go to McDonald's because of the app there was an offer that they were supposed to get. They go to a certain McDonald's and they don't get what they thought they would get just based on the app. So some people do it and some people don't and obviously that's not a good thing for McDonald's usually you get the same experience every single time that's where you go there you know exactly what to expect and part of that is also what the CEO said they didn't perform or they didn't execute at the level that they used to that you know you put out these offers for example and no matter where you go you'll actually be able to redeem them and that has

been definitely a big problem especially when you think about that loyalty members by now make up about 40 billion dollars of all sales last year and that's close to 30 percent of everything that McDonald's sells so.

If those people don't like the way the orders are handled at McDonald's, that's definitely a big problem. And the other advantage, if we talk about the positive side of the app again, is definitely the advertising rate. I mean, you talked about the advertising fund in itself, which if you just combine McDonald's, it's bigger than KFC, Taco Bell and Pizza Hut combined. And then you not only have that big marketing budget, it's also pointed pretty precisely at your customers because you have this huge database of 220 million people. So again, it's not a mode. But it's definitely a massive advantage nonetheless, even if, for example, you condition some people to wait for office. You mentioned the long term risk to the business before. So maybe we should talk about them now. I was blown away recently when I heard that one in nine Americans are now using a GLP one drug to lose weight. And that's tens of millions of people. And internationally, I think that trend is really just starting. And so from what I understand about the effect.

of these drugs. They basically reduce your hunger, which at first glance doesn't seem like much of a very good thing for fast food chains. I've also bet on these emotional decisions to kind of quickly choose fast food out of convenience instead of cooking something at home yourself. It's an interesting topic. And I think, you know, the two of us are by now quite famous for not covering healthcare companies. But I definitely need to learn more about GLP one and peptides and all that sort of stuff because And it's quite interesting. I mean, it used to be much more to fitness and nutrition than I am nowadays. And one thing that you quickly learn is that there's pretty much nothing that you can take that's actually measurable in the effects that it has without side effects. So maybe creatine, if you know what that is, is probably the closest to having that effect without any side effects. But then peptides came and there were these incredible stories about what they can do. And I'm naturally skeptical, as we all know. So I didn't pay much attention to them for a long time, but.

thinking about what they can do just seemed a bit too good for me to be true. But GLP-1 is one of those, you know, peptides and it appears to work pretty well. And as you said, by now, it's 11 to 12% of American adults now taking one of these GLP-1 drugs. It could be Osempic, it could be Vigovi. It could actually be one of the more modern things. These are actually, I wouldn't say outdated, but they're definitely more modern versions of that on the market. And the use of those is nearly quadrupled in just two years time. So these drugs are basically working by mimicking a natural gut hormone that slows digestion and then increases the feeling of fullness, which obviously leads to reduced appetite. And now market research shows that households with a GLP-1 user tend to spend about 8% less at fast food chains, coffee shops, and basically all similar places within six months of using or taking that drug. Oh, goodness. I mean, given the number of people taking these drugs, are we starting to see these numbers show up in McDonald's quarterly results?

I think we should, but given that it's still mostly a US phenomenon and using the numbers that we talked about above, I think the impact right now should be about 1% of sales, which doesn't sound massive. But again, we also just set the start. And I think that McDonald's had some data from probably third parties because otherwise it wouldn't know how they get to it. But they say about 85% of households with a GLP one user still visit McDonald's. And it didn't sound like they would also spend significantly less money. So The impact is not huge. So what they say is they basically prefer McNuggets, they prefer filet of fish and happy meals. Obviously, the reason why they like it is it's smaller meal sizes and it's also less fatty food. So McDonald's is now trying these portion flexible and protein-led options to sort of better accommodate their preferences. It does seem intuitively that smaller menus would equate to less spending, even if they continue to go to McDonald's unless they're paying a premium for these protein first options. Well, you know, it's kind of funny, but they probably are like whenever you have these new protein products, the price goes up. And actually, if you look at the numbers, the reason why McDonald's is not down further in terms of sales numbers is because they increase prices. So if you think about that, it's not the most sustainable way. And I definitely don't buy the idea that it's supposed to be a chance for McDonald's, which is how they want to sell it to you. I guess the question for us as investors is mostly

whether this will be an impact of 1% or 10% on sales. And I gotta admit, I thought it would be closer to 1% for a long time because, again, I had this more skeptical view of GLP1 drugs. But the more I learn about them, the more uncertain I am. And honestly, I'm surprised we haven't yet seen a bigger impact. When I talk to people who are currently using them, they describe not only less appetite, but also a pretty major shift in the kinds of food that they crave. So sugar and sweets, for example, are way less popular and you crave more. We talked about it protein, which is why McDonald's now says, hey, we want to sell more chicken, we want to sell more fish, but still you don't necessarily go to McDonald's for protein food. So I also asked Trevor, who is a doctor and our master in my community, and this is what he said. So medications like WeGoBee from Novo and Zepbound from Eli Lilly target specific receptors to achieve two massive shifts in consumer behavior. So first, They slow gastrointestinal transit time. Think of it as causing a traffic jam in the stomach and the intestines. So food moves slower, people feel fuller for longer, and appetite reduces. Secondly, they also rewrite the perception of reward by altering the dopamine pathways in our brain. So you know when you have that first sip of coffee in the morning, or you eat that little bit of chocolate, Or you have that savory, greasy, salty French fry, and you just think, ah, this is great. So that's a little dopamine squirt that's happening in your brain. We also get dopamine squirts from social media, gambling, alcohol, things like that. Now the GLP ones downplay these exact pleasure responses, basically crushing the cravings entirely. So by correcting for both gut biology and brain chemistry, these therapies are changing consumer behavior.

This is why they are rewriting the global healthcare economy. Let's take a quick break and hear from today's sponsors. You know that sinking feeling when a meeting ends, everyone's nodding along, and two days later, you realize nobody wrote down who was doing what. That's why I use Granola. Granola is an AI-powered note pad that makes your meeting notes useful. It captures what happens in your meetings and it turns it into clean, structured notes with decisions and action items pulled out and made easy to find. On days with back-to-back calls like guest prep and team check-ins, community calls, I used to spend the gaps cleaning up messy notes and trying to remember who owned what. Now I stay in the conversation and weeks later everything is searchable in one place.

Once you try it on a first meeting, it's hard to go without. You can try it totally free. Head to granola.ai slash wsb. That's granola.ai slash wsb to get your time back. Go to granola.ai slash wsb and try it on your next call. Interested in futures trading and looking for a place to get started with plus 500 futures, you can explore some of the world's most active markets all from one easy to use platform. Trade futures on popular assets like the S&P 500, Nasdaq, oil, gold, bitcoin, forex and more. Whether markets are moving in crypto, commodities or indices, there's always something to follow. Plus 500 futures is designed to make trading straightforward. The platform you can access wherever you are right from your phone. And you can get started with a minimum deposit of just 10. Not ready to trade with real funds? Try the free unlimited demo account first and explore the platform without putting real money at risk.

Backed by nearly 20 years of experience and trust by millions of customers worldwide, Plus 500 gives you the tools to stay connected to the futures markets. Visit us.plus500.com to learn more. Trading in futures involves risk of loss and is not suitable for everyone. Not all applicants will qualify. Plus 500, it's trading with a plus. This September, I was in New York for the Intrinsic Value Conference. The talks were great, but what I kept thinking about is what happened around them. On Friday night, about 20 of us crowded around a long table at a family style Italian spot near Times Square. Saturday, we did it again. And Sunday morning, a group of us were still debating Socrates over breakfast before everyone headed home. Many of the people at those tables had only known each other from our calls in the Mastermind community. That is the community I host with Kyle Grieve and Daniel Manca.

Each week, we get together on live calls to dig into markets and individual businesses. We bring in fund managers, operators and authors as guest speakers. And a few times a year, like New York this fall and Omaha every spring, we meet in person. If you want to think in decades alongside people who do the same, apply for free at theinvestorspodcast.com slash mastermind. If your application stands out, I'll be the one to reach out to you personally. All right, back to the show. What's also interesting is how some people said that the routines actually became healthier. So you would probably think that people might not work out more or eat healthier because

they feel like they have this magic GLP-1 drug that they can just take and it does the weight loss work for them. But it actually turns out differently pretty frequently because people will feel more comfortable in their bodies and more capable of exercising.

And it sort of like jump starts their momentum in the right direction that they build on. So they end up often going to the gym more often or going for a run more often than they otherwise would have. We may need to say because it might sound different. We are not doing any advertisements here for GLP OneDrucks and we're not using them. But I was definitely surprised by how well they seem to work and also just by how fast they currently are. I mean, it's still the beginning. And you know, I thought about it too in terms of what I think about them generally. And I didn't really like the GLP OneDrucks either because Obviously, they make it much easier to lose weight. That said, from a utilitarian perspective, they clearly produce way more good than bad. And I mean, if they forced shops like McDonald's to change their menus and include healthy options, that would also be a major benefit for people like you and I. Well, it does seem like the GLP one question has really yet to be answered. And yet given the widespread use of them today, I would have expected a larger impact on the financial results of a company like McDonald's. But that doesn't yet seem to be the case. And really the market narrative at the moment for explaining any weakness in McDonald's sales seems to be more macro related and talking about how much money people have in their pocket than having to do with huge shifts and customer preferences. I was surprised too. When I looked at McDonald's, I thought the stock going down must be due to GLP once. And even then I was surprised by how severe or basically not severe the drawdown has been because I could imagine this is a terminal risk that probably most people didn't think would exist for another 20 or 30 years. But apparently that's not the case right now. It looks like the market is more worried as you said about the macro thing and actually McDonald's if you compare charts very much behaves like an inverted 10 year treasury bond. So the 10 year node yield has done 32% since early March while McDonald's stock has dropped an identical 32% over the same time frame. So One reason for the inverse correlation is that McDonald's real estate portfolio obviously drops in value when rates go up. And given its size, that's quite a substantial impact on the company. And McDonald's also has

40 billion of long-term debt, although that is mostly fixed rates. So I don't think it's about the debt they have and refinancing it, although it's currently at significantly lower rates, about 4% on average. I think the second reason is that McDonald's, because of its stability and dividend, basically competes with bonds in some investors' portfolios.

You now have a 10-year that is paying you well over 5%. It's not that attractive anymore to all McDonald's at a 3% dividend yield, given that you don't take on any company-related risk if you just own a bond. It's really interesting correlation and really at the right price. I like to take on the company-specific risk to get a potentially higher return, but that's not how everybody thinks about investing. And some people prioritize more stable cash flows to live off of. And what's fundamentally different to me today with McDonald's as an investment is that over the years, there's been plenty of outrage against the company and protests and movements supporting healthier lifestyles. But they all really rely on people building their own willpower to resist what is effectively a pretty addictive drug to many people, right? I mean, it's a really potent concoction of sugar and salt and fat. And biologically, our defenses to resist that are just very poor. So Even though two decades worth of school kids, for example, in America have been shown the Super Size Me documentary. I remember watching that in middle school, where this guy eats only at McDonald's for every meal over the course of a month and then documents the health effects. I mean, you can imagine how that went for him and instill that didn't turn people off from eating there at any kind of meaningful scale. But now that we have a widely available affordable option that actually chemically changes our bodies cravings for junk food. Then to me, this gives a whole lot more reason to believe that this is a challenge that's not going to fade away for McDonald's and will only continue to grow globally. And also isn't one that's just a market narrative. There is real substance to the concern. Whereas with some of these other movements that I talked about, there's a lot of narrative and news around them.

But at the end of the day, it didn't fundamentally change the reality that it's very hard to resist the temptation of junk food. We oftentimes talk about inertia and just doing what you have done in the past, so that you have now something that basically forces you to change that rhythm and just your

habits daily. I think that's probably the most powerful threat that we have had McDonald's seeing in probably decades, if not ever. And I think there are not a lot of people that would have thought that such a terminal risk would come up at any point, at least not as soon as it did. Well, with all that said, how about we talk about the competition, right? Because that's the other type of risk here. You have these fast food companies potentially competing with each other over a shrinking pie of fast food spending dollars in the coming years. And obviously, you know, my favorite is Chick-fil-A. And it's really the only fast food that I'm willing to eat. And I do wish they were public because if they were, I would be buying shares hand over fist.

I think it would be a good way to sort of hedge my own personal spending there. And just gosh, nothing beats their sandwiches. They're so good. And for context, Chick-fil-A did about 24 billion in sales last year in the US in only 3,300 restaurants. And that's up from 12 billion in 2019. So they've doubled in six years. And their average restaurant does 7.7 million, which is nearly twice as much as McDonald's. And I think what we've seen happen is Chick-fil-A going increasingly from being a regional chain, mostly across the southeast of the US, to becoming more and more a nationwide chain. What I was surprised to see when I did my research here is they're actually closed on Sunday, which definitely gave me Germany vibes because all stores here are always closed on Sundays, except actually for restaurants and theaters and so on. And I don't really like that. Usually I stand there on a Sunday, don't realize what day it is, and I can't get into the supermarket. So I don't know how I feel about them being closed on Sundays.

I can at least now proudly say that I wasn't there when I visited you in Charlottesville on a Sunday, so I could give it a try. And I must say it's pretty good, even though I only had one bite. I think the quality of food is likely higher than most other fast food places we can go. And because Chick-fil-A is so successful, I think that's part of why McDonald's wants to double down on chicken because they can definitely see there's competition coming in on that end. And again, they talk about gaining 1.5 percentage points of share in chicken, which might be phrase similar to as your friend would do when they talk about chicken and beef competition. And so I hope that at least sort of gives you an idea of why I think it sounds so weird

talking like that. If you listen to an earnings call for hours and hours and multiple of them and they talk about gaining 1.5% points of share in chicken, that just doesn't sound right to me. I mean, it can maybe make you lose your appetite. It's a bit of a weird way to think about things. But McDonald's should already be quite big in chicken, right? I mean, big nuggets are huge and they do have their own chicken sandwiches and wraps as well. So it's not like this is entirely new product area for the company. Absolutely not. I mean, McDonald's has about 20% of the chicken market, which is actually 130 billion annually. It's absolutely massive market. And that's pretty much on par with beef, but beef is a smaller market. So percentage wise, McDonald's is much more dominant in beef compared to chicken. And one of the interesting differences between McDonald's and Chick-fil-A is that franchisees are only allowed to own one Chick-fil-A store with McDonald's.

you can own as many as you want. And oftentimes, especially if you are in smaller cities, one person owns the McDonald's stores of, you know, let's say the next 10 kilometer range. So most of the people, they have multiple stores. And maybe that's, you know, one of the reasons why the service at Chick-fil-A feels much better. Because if you own only one store, you'll be much more focused on making it the best business and, you know, the most efficient, but also the most feel good way for customers. And if you own 10, You're just more interested in how you can run all of them as efficiently as possible and you can't focus as much on just one store. I think my problem with McDonald's is really pretty anecdotal because really just their food makes me nauseous. I don't think I've really enjoyed eating there since I was a kid. I did used to love getting a, you know, like a plain cheeseburger back in the day. And like I said, I can maybe do a McMuffin, but I just don't have that same problem today with Chick-fil-A to the same extent.

It sounds a little bit silly, but it also doesn't feel as trashy for lack of a better word to go there. The social perception around eating at Chick-fil-A is definitely less negative I've found than McDonald's. And perhaps it's because the restaurants are usually in better condition and it's a more pleasant atmosphere. And typically the service at Chick-fil-A is just, I mean, it's incredible. It really actually feels like the employees want to be there, which is an anomaly in most jobs. But, you know, McDonald's

employees, they're certainly not a resounding endorsement of having pride in their jobs, typically. One thing I noticed when I was at McDonald's in London is they don't taste like a lot. Like, you know, I was still kind of happy to just get another cheeseburger and kind of get reminded off, you know, how it was as a kid. And I felt like back then they might not have been healthy, but I definitely liked them. I enjoyed eating them. But now when I just took a bite, it didn't really feel like much. I didn't taste the beef or the cheese in the way that I did back then. Maybe it's because by now I just taste things differently because I'm not conditioned anymore to eat there. But maybe it also that it just doesn't feel like beef in the way that it should feel. So I don't know what exactly it is, but it definitely felt different. And we could also discuss other brands like Taco Bell, Burger King and Wendy's. But I think generally compared to those, they're just clear structural advantages that McDonald's has that are likely to persist significantly more scale you're talking.

better unit economics, it's a better brand. And even though it's a competitive and tough industry to be in, you can clearly see if you compare the unit economics, McDonald's is a way better business than most of its competitors. If you maybe not talk about Chick-fil-A, for example. To me, I just don't feel like McDonald's is a bit in a situation like Nike. So they have significantly more scale than any other competitor. They are a global brand and they're better known than anyone. And as Buffett said in this clip that we showed in the beginning, fast food is weird where you don't say I want to go to McDonald's now it's more like you see the store somewhere in the city you're hungry you know what you get so you just on the spot decide to go to McDonald's so it's pretty much also about availability which is why it's such a big thing if they are global and they're just everywhere so I'm not saying that you know McDonald's stock will follow Nike's path but to me they sort of have lost what made them special 10 to 15 years ago and again this could be 100% my personal bias and as someone who doesn't eat fast food anymore I'm aware I'm not the right person to ask but McDonald's felt like a family and kids thing back in the day. And I just personally, maybe just the advertising, don't get that feeling anymore. It feels more like it's primarily winning on scale accessibility and again in Russia. And then again, maybe a different data point when I talked to Kyle in London, he told me that his kids still love to go to McDonald's from time to time. So maybe

Sean, the two of us on the problem. We very well could be. I do think this is true of a lot of restaurants. The thing that's changed the most in the last few years is pricing in the sort of post pandemic era. You used to go to McDonald's and it was supposed to be really cheap and fast. And since 2019, though, menu prices have gone up by 40%. I don't think people's incomes have gone up by 40% in that time. And, you know, of course, inflation did cause their input prices to go up as well. But it doesn't seem like McDonald's really did everything in their power to not pass on those costs to consumers. And now they're trying to get people back with their 5 meal deals in the under 3 menu. So they are trying to maybe find some redemption. They tested out their pricing power, and now they're going back on some of that. Yeah, I think this goes back to Nick Sleeve's scale economies chart model, right? So you use your scale on efficiencies to basically pass on cost savings to consumers. But of course, you know, the dynamic here is it's not different because you don't have headquarters setting prices, but the franchisee is doing that. So They don't experience the same Amazon or Walmart like scale efficiency. So they care about their franchise and being profitable at the end of the month. And if you only own one store, you don't get the same dynamic as you know, Amazon would if they sell more volume. So you primarily care about what are my unit economics and not about what are the unit economics of the average McDonald's store. And also to be fair to McDonald's, I compare the cost increases to their price increases between 2019 and 2025. And they didn't ruthlessly take margin on the back of rising inflation. They were more or less in line with inflation, averaged out over those years. The only higher increases have happened in 2022 and 2023. But basically in the years before that, they didn't increase prices as much. Well, I've also heard that McDonald's besides chicken is looking to expand into beverages. And so they launched a whole new drinks lineup under the McCafe brand nationally back in May. And so we're talking crafts, sodas, refreshers, cold brew and Red Bull energy drinks as well.

So there was really a short time about two years when they ran these, they're called Cosmix that were small shops that were really colorful. And you could get these customizable specialty drinks and teas and cold coffees and energy boosters and some light snacks, stuff like that, that were meant to target Gen Z crowds and compete with Dutch Bros. And so they close

them again. But the most successful drinks are now supposed to be sold in McDonald's restaurants. I'm not proud to say that it took me about two days to figure out how you actually pronounce that. I always thought it was not Cosmics, but Cosmekus. And then at some point I figured out that's definitely not how you say it. So unfortunately I did that before we started recording this episode. And I think generally drinks are sort of a natural expansion of the business and McDonald's estimates that this market would be worth about 100 billion, you know, at least in that range. And they have the goal to gain 1.5 percentage points of share, which is coincidentally the same number as for chicken. I'm not saying anything, but Probably they have precise mathematical models for why exactly it's 1.5% of share, but I just thought it was a funny coincidence. We've talked about the consumer and the competition, but the people who actually have to deal with all of these different challenges are the franchisees. So how are they doing these days? How do things look for the average franchisee of a McDonald's? Not as badly as you would think if, you know, just like I did, you would go through all of the research that basically all the articles They have out in public. So again, like the average U.S. McDonald's is doing about 4 million in sales. And then after food, labor, rent, royalties and so forth, the franchisee keeps about 500,000 in cash flow per restaurant. And that's up almost 50% since 2019. So you would think they had a pretty good stretch. The problem, though, is that most of that appreciation came in the post pandemic years. You know, we're talking 22 and 23, where also the price tags have been way more significant than in the last couple of years. So while the six year view.

might look great. Franchisee cash was actually down about 10% from those post-pandemic peaks. And I think it's only human to anchor on the highest number that you've ever achieved, instead of thinking about how gains were pulled forward because of demand and price increases in those years. I think the sentiment could be better. And there is an independent Franchisee group, the National Owners Association, that surveyed about 100 of the roughly 2,000 US owner operators this summer. 95% said the restaurant profitability declined in the first quarter of this year and 97% said the company's current plan is not improving their cash flow. And then something like 80% said their cash flow is, quote, not sufficient to support required reinvestment obligations. And that last one is really the important

part because as we said, McDonald's does not pay for the restaurants. It pays for the land and the building and charges rent for it and the kitchen and the remodeled the technology that is all the franchisees money. Basically, the way the model works is that McDonald's grows on someone else's capital, which is an incredible business model, as long as that someone can actually afford to still make all the necessary changes and updates. And right now they're basically telling McDonald's, hey, we can't afford that anymore. And that's why McDonald's plans to step in with what they call the next strategy. And much of that strategy we have already discussed, it's gaining share in chicken, it's expanding into beverages, it's growing the app and so on. But it's also about the restaurants themselves. So you're talking about remodeled kitchens, you talk about new technology, most likely we'll talk AI. And for example, you know, the part where you order and so forth. And for all of that, the average US restaurant needs about 800,000 of investment and roughly 70% of the US ones are supposed to go through it in the next four years. And if you just do some quick math, that would be about 7 to 8 billion of franchisee money. And because the franchisees just said, hey, we can't afford to do all of those updates. And you just said earlier that some of those do feel outdated. So it's definitely needed for those McDonald's franchises. McDonald is going to help. So they want to pay about 8.5 billion for the next 10 years. So through 2036 and about 5 billion of that is supposed to come up until 2030. So you're talking 1.5 to 2 billion of that as direct capital. So we talk actual cash and then the rest is rent relief. So there's no major impact on the current cash levels. But obviously you make a bit less revenue.

And the stock fell 5% to a four year low on that day. Yeah, it turns out if you tell investors you will make less money, they don't like it that much. But I mean, again, it's probably a bit short term focus because, you know, you're looking at a company that is investing into the future, but it definitely hurts because when I say, you know, this is part of the revenue. Initially, you would assume it's CapEx, right? Because it's an investment that the company makes. But because of the business model of McDonald's, it's basically revenue coming straight out of this 84% margin. rent a royalty line. And the impact of that could be if you do the math for the next three years as much as 3% annually on revenue. And that's quite a massive hit. Definitely seems like a very short-term response from the market, but I

don't think we should be surprised. And ultimately, you need to modernize your restaurants every now and then. And as I said earlier, many of them do feel sort of outdated and definitely not on par with places like Chick-fil-A, but I have my biases. And while McDonald's could technically say, hey, that's not our problem, that really isn't much of a win-win relationship with their franchisees and not a great way to build a sustainably profitable business on both sides for the franchisee and for McDonald's. And so the 14% from rent and royalties don't come in when the franchisees leave, right? So you have to make sure that those franchisees can survive and thrive. And this has happened in the past. I mean, roughly every 10 to 15 years, McDonald's will basically admit that their restaurants have gotten stale and they'll force a big reinvestment cycle. I've seen it happen a few times now in my life, 2003, 2015, and now 2026. And anyways, before we get to the valuation, let's just quickly talk about the management team, and especially Kim Chinsky, because besides not making a good impression in McDonald's Instagram videos, how has he performed with the business and how is he incentivized?

I would say he's a typical career CEO. So definitely not the founder type. Usually that's what we're looking for. But at the same time, I mean, either you're good or bad at what you're doing, right? And in our last episode, you know, when we talked about GE, we talked about her card completely changed GE's fate. And he was a career CEO too. He wasn't the founder type either. And if I look at Kymchinsky and, you know, his path in the last couple of years as CEO, he basically came into the company in 2019. And he came up through companies like Procter and Gamble, Pepsi and even Kraft before joining McDonald's on the strategy side since 2015. So he did not immediately come in as CEO. He's more of a brand guy. And also, as I mentioned before for the video, he's a numbers guy too. And under his accelerating the arches strategy, which was the name in 2020 for basically there, the new initiative going out for the next couple of years, the core was marketing, focusing more on one base menu pretty much, as we talked about in the early beginnings of McDonald's.

And then going digital, having delivery, having new drive-throughs, all that sort of stuff. And McDonald's added about 40 billion of system-wide sales over that time frame and over 3 billion of operating income. So that's

definitely a strong result. And also, if you look at that and you compare it to the comps in the industry, it's definitely a way better performance than most of those companies. What does this compensation look like, though? I mean, I assume that it would be very hard for him to build up a meaningful stake of shares as a percentage of the total just because the company is so mature. Yes, he does not own a lot of stock. And that's close to impossible, as you just said, when he joined a company that is as old as McDonald's. But he's still doing fine. I mean, he was paid 20 and a half million last year. And the vast majority of that actually 15 to 60 million was long term equity. So 50% of that is performance based, you know, it's based on EPS growth, where I think the target is 6% a year, which is not a lot, but it's better than nothing. He's also incentivized on return on invested capital and the total shareholder return versus the S&P for fund. Although out of those three factors, the EPS part is about 70% of the factor for this compensation. And the other 50% is stock options. So I think it's a decent incentive program due to the EPS factor. It's very likely that they will continue to do buybacks because it's way easier at that point to achieve the 6%, even if the business is not performing that well.

And I also personally like that he's incentivized on return on invested capital, especially now that we just talked about them investing eight and a half billion dollars on remodeling some of their restaurants. And what is a bit more of a political matter is that the CEO is paid significant amounts of money compared to the median employee. So while 20 million is not uncommon for a company the size of McDonald's, what is uncommon is to have the CEO get paid more than 1000 times the median employee's salary. which is one of the biggest ratios in the S&P if I found it. Well, I would assume that it does probably look that way at a lot of fast food chains. And in the end, those are jobs that you usually don't do for long, but typically to start a career or work while you're studying. So how does capital allocation look, though? I mean, you already mentioned that McDonald's is well known for its dividend and that Kim Chensky is incentivized to buy back shares to hit the earnings per share target more easily.

McDonald's just became a dividend king. So in September, they raised it for the 15th consecutive year every year since 1976. So it's 7.72 a year now, which is about a 3.3% dividend year at the current price. And that's

basically the highest the stock has had since 2020. And they also bought back 2.1 billion of stock last year. And if you add up buybacks and the dividend, they essentially gave back 100% off free cash flow to shareholders. Okay. Well, pretty good. How about valuation time then? Let's see what McDonald's is worth to a long-term value investor. That's time. Again, we have McDonald's trading about 30% from its 52-week high. That's a PE of 18, which sounds pretty low for such a high margin business, with arguably one of the strongest brands in the world. The average PE over the last decade has been between 24 and 25 times. You are certainly at a cheaper point in time right now.

When I build the model, you know, just for information, because you can always download them and then change the numbers. I ignore the system wide sales because, you know, they matter to see what the underlying franchises are doing or whether they're healthy. And that's an important metric, but McDonald's itself is only having revenue of about 27 billion. And that's the revenue they get from royalties and rent and then the self-managed stores, which are not a lot compared to other franchise ones. So rather than modeling geographic segments like, you know, US or Europe, I also built the model around the streams of income that they have. So You know, the ones that actually hit McDonald's P&L and the first and by far the biggest one is franchise revenue. So the rent and royalties that we talked about a hundred times today and that's about 16.5 billion dollars in 2025. So over 60% of revenue and it's extraordinary profitable. As we said, you know, after subtracting the occupancy costs of McDonald's and, you know, the carries as a landlord, the margin on that stream is almost 85%.

And then you have the second stream, which is roughly 2000 restaurants of McDonald's that they operate themselves and those generated close to 10 billion of sales in 2025. But again, the margin on that has only been about 15%, which compared to the other comps is pretty good, but way lower than the other part of the business because McDonald's here is paying for the cost. You're talking beef, you talk chicken, the crew, electricity and all of that stuff itself. evidently, you're not expecting a ton of growth in the coming years. I mean, revenue is only growing at 1.6%. I assume that's because the cost of the next strategy that, as mentioned, is not accounted for as capex or cost of good sold, but instead comes as reduced revenue. And

it's essentially a form of rent relief if you see that as part of the explanatory factor for that. Absolutely. I mean, that will definitely be a pretty significant impact on revenue in the next couple of years.

It shouldn't be that much of an impact on operating income, which I still expect to grow in the mid-single-digit range because the selling of these self-operated stores, which is part of the strategy, makes the business more profitable. But it's yet another reason for lower revenue growth. So you have the next strategy. And then you also have the idea of selling more of your stores, which again, good for margins, bad for revenue. So overall, I expect mid-single-digit EPS growth for the next five years. Then you add to that. 3% dividend yield and some buybacks. And I personally get to a fair value here today of about 220 per share. And with a margin of safety, that would be lower. Usually we add 20%, but you know, you could also say you have such a massive legal state portfolio that part of the margin of safety is already included in McDonald's. And all of this is on an estimated PEO on exit multiple of 20. If you would, for example, use a PEO of 25, you would get to a significantly higher value of about 260 per share. So it sounds like fairly valued.

return expectation would be about 10% for the stock. But for more than that, either the multiple needs to move up or the next strategy needs to work out better than expected and would actually be causing more growth instead of just basically defending their current positioning. Yes, but you could also turn around and say if the GLP1 situation were to get closer to a 10% to its decline scenario, You also have quite some downside left. I only model basically assuming you would get low single digit sales declines if even if that's not the case and GLP one is hitting the business way more than we expect. At least right now, you would definitely have a bear case. You listen to a video the other day that apparently you had already stumbled across in your research. But just for the listener, it was all about GLP one peptides and how specifically the technology around weight loss peptides is already dramatically improving.

And so really, it might take ways that the first generation of weight loss products, I think Ozympic, when combined with exercise and other lifestyle changes, could be expected to drive maybe a 15% reduction in body fat. But

for the next generation of peptides, the results in some of the early studies are apparently about twice as good with people losing nearly 30% of their excess body fat. So we haven't even seen the first generation of drugs make their way around the world. But now there are even more promising versions popping up. And so it just seems like it is really starting to accelerate. And that's why I said earlier that we may be on a better trajectory than ever to effectively abolish obesity, at least for those who are willing to opt into drug-based treatment and pair that with some other modest lifestyle changes. And I think the ripple effects of that over the next few decades, I'm sure that'll be huge. And really the most obvious victim is fast food.

maybe there's some wishful thinking on my end about society getting healthier. But this is far from being wildly speculative either because of that. I just don't see how I could sleep at night owning shares in McDonald's. I mean, for starters, there's sort of the moral concerns. But bigger than that, in my view, is the terminal value concerns where we just simply don't have a ton of confidence that on an inflation-adjusted basis, McDonald's addressable market and their business will be bigger in the US and most of their developed markets in a decade or so from now. And if that is the case, I won't say it's impossible for them to deliver decent returns to shareholders, but the odds are very much going to be stacked against you and it's going to be very hard unless you get an incredibly good price for the investment to work out well. I think McDonald's, because of its real estate portfolio, it definitely has a margin of safety somewhere.

If you want a stable company that perhaps gives you high single digital returns and that includes dividends and buybacks for a pretty long time, I think McDonald's is a good opportunity. But given the uncertainty around G1 drugs and the fact that it's still a competitive industry after all, I mean, we looked at some other big companies, I sort of made the analogy to Nike. I don't think they will end up in the same sort of scenario as Nike is currently in. But still, those are companies that you look at and the brand is so strong. So you think there's nothing that can happen to them. But then you look at GLP once and then you also look at the generally bad perception of McDonald's and if you combine those two, the fact that you can now suddenly change what your body is craving for, plus the bad rep

that McDonald's had for quite some time, I think it can cause problems that to me at least I don't feel like getting sufficiently compensated at today's prices for that risk. So I think I agree that despite the real estate portfolio and McDonald's just being a fun one to research because you still have a lot of memories of how you used to consume it as a kid. It's not an investment that currently either of us is very excited about, I would say. So with that said, let me close it for today with a quote by Ron Buffett. If he's part of the episode, we always have to close with a quote of him. And he said, quote, the difference between successful people and really successful people is that really successful people say no to almost everything. So sometimes when we're doing these episodes and we end up not investing despite the business being great.

I like to remind myself of that quote, especially now that our portfolio is pretty full and we actually only add to the best companies because otherwise the opportunity cost is selling one of the companies that we already like so much. I feel like Buffett gives us some good advice here on how to handle that. And with that being said, have a great day and see you all next time. Thanks for listening to TIP. Follow the Investors Podcast on your favorite podcast app and visit theinvestorspodcast.com for show notes and educational resources. This podcast is for informational and entertainment purposes only and does not provide financial, investment, tax or legal advice. The content is impersonal and does not consider your objectives, financial situation or needs. Investing involves risk including possible loss of principal and past performance is not a guarantee of future results. Listeners should do their own research and consult a qualified professional before making any financial decisions. Nothing on this show is a recommendation or solicitation to buy or sell any security or other financial product. Hosts, guests and the Investors' Podcast Network may hold positions in securities discussed and may change those positions at any time without notice. References to any third-party products, services, or advertisers do not constitute endorsements, and the Investors' Podcast Network is not responsible for any claims made by them. Copyright by the Investors' Podcast Network. All rights reserved.